NSRA Sec. 3406(f) · Balanced Budget Path · Act I

A Balanced-Budget Path, Written Into Law

CBO projects federal deficits of about 6% of the economy, rising from **$1.9 trillion in 2026 to $3.1 trillion by 2036**. The NSRA pays for every program it creates and still cuts the deficit by a modeled **$2.5 trillion over ten years**, including lower interest costs. Then it writes hard deficit limits into law and enforces them automatically.

The limits

Deadline	Limit in law
Year 4	**Deficit at or below 4.5% of GDP,** down from about 6% (Sec. 3406(f)(2)(A))
Year 10	**Deficit at or below 3% of GDP,** the level that keeps the debt from growing faster than the economy (Sec. 3406(f)(2)(B))
Year 8	**A required vote on a Balanced Budget Act** that balances the budget by Year 15 (Sec. 3406(f)(2)(C))
Every year in between	A straight-line glide path published by CBO, so progress is measured every year (Sec. 3406(f)(2)(D))

How it is enforced

Step	What happens
August 15	CBO reports whether next year's deficit, under current law, misses the limit, and by how much
Congress acts first	A Fiscal Target Act that closes the gap gets a guaranteed vote within 30 days of session
October 1 trigger	If Congress does not act, the gap closes automatically: half by capping tax breaks for incomes over $400,000 (single) or $450,000 (joint), half by an across-the-board cut split evenly between defense and non-defense
Speed limit	New automatic adjustments are capped at 0.5% of GDP a year, so there is no sudden shock to the economy
Recession or war	Enforcement pauses and resumes afterward; deadlines move only by the length of the pause

Who is protected

No automatic cut can touch Social Security, Medicare, Medicaid, the $0-premium Basic Minimum Plan, veterans' compensation and health care, SNAP, the $1,000-at-birth deposits, low-income tax credits, or military pay. The automatic tax lever applies only above the $400,000 / $450,000 income limits.

The honest math

The bill's own savings, about $170 billion a year once programs are fully running, cover more than a third of the drop to the Year 4 limit. Reaching the Year 10 limit takes about 3% of GDP more, from a plan Congress passes or, failing that, the automatic trigger. That is a large lift, comparable to the 1990 and 1993 deficit agreements combined, which is why the law forces a vote rather than leaving it to good intentions. A full balanced budget cannot come from the bill's revenue alone while protecting Social Security and Medicare, so the bill requires Congress to vote on a plan to get there.

Operative text: Sec. 3406(f) (Title XXXIV), carried with Act I, the American Fiscal Integrity Act. Severable and able to move on its own (Sec. 3406(f)(9)). Dollar figures are NSRA model projections (version 2026.2) on CBO's February 2026 baseline; CBO has not scored the bill.